

BEFORE THE FEDERAL MARITIME COMMISSION
Administrative Law Judge

Docket No. 24-06

Impact Products, LLC and Safety Zone, LLC, Complainants

v.

Lihua Logistics Company Limited, Respondent

LIHUA LOGISTICS COMPANY LIMITED ANSWER TO THE AMENDED COMPLAINT

Respondent, Lihua Logistics Company Limited (“Respondent”) respectfully answers the Amended Complaint (hereinafter the “Complaint”), by Paragraph number, in accordance with the May 6, 2024 Scheduling Order of the Presiding Administrative Law Judge, as follows:

Paragraph 1. This appears to be a statement of purpose and to the extent it alleges any facts, Respondent denies each and every allegation set forth therein.

Paragraph 2. Respondent denies each and every allegation in Paragraph 2.

Paragraph 3. Respondent denies each and every allegation contained in Paragraph 3 and avers that it never assessed any charges against Complainants directly or as an Assignee of Laufer.

Paragraph 4. Respondents deny each and every allegation in Paragraph 4

Paragraph 5. Respondent is without information sufficient to form a belief as to the truth of the allegations in the first four sentences of Paragraph 5 and therefore denies them. Respondent avers that Complainants were not customers of Respondent. Respondent denies that Complainants are “shippers” pursuant to 46 U.S.C. § 40102(23). Respondent lacks information with which to form a belief as to truth of the allegations contained in the balance of Paragraph 5, and therefore denies each and every allegation.

Paragraph 6. Respondent admits its address and that of its Agent. Respondent denies that it currently serves any ports in the United States and avers that its last call to the United States was at Oakland, CA on July 27, 2022 and that Respondent has no offices or employees or assets in the United States.

Paragraph 7. Respondent denies each and every allegation in Paragraph 7.

Paragraph 8. Respondent denies that the FMC has jurisdiction under “26 U.S.C §§ 41301 through 41309.”

Paragraph 9. Respondent denies that it has at any time entered into a “service contract” as defined under 46 U.S.C §40102(21) with Laufer Group International (“Laufer”) and avers that Assignment of Claims from Laufer International Group, could not include a claim by Laufer International Group against Respondent based on a service contract since none existed, and further avers that the Assignment of Claims attached to the Amended Complaint is ineffective as it does not describe any claims that Laufer asserts with respect to Respondent.

Paragraph 10. This relates to conclusions of law and is denied.

Paragraph 11. This relates to conclusions of law and is denied.

Paragraph 12. Respondent denies each and every allegation in this Paragraph 12.

Paragraph 13. Respondent denies that Complainants ever shipped any containers, directly or through Laufer, with Respondent, and denies each and every allegation in Paragraph 13. Respondent avers that there is no evidence, such as bills of lading or waybills, that “Complainant shipped containers through Laufer” either directly or indirectly.

Paragraph 14. Respondent lacks any information as to the allegations in Paragraph 14 and denies each and every allegation in Paragraph 14.

Paragraph 15. Respondent denies that Exhibit A is a valid Assignment of Claims because it is (a) undated, (b) it does not delineate or specifically describe the basis of the legal relationship between Complainants and Laufer, (c) it does not describe the claims being assigned as they relate to Respondent or attach bills of lading that Laufer would have had to issue to Complainants as their alleged NVOCC, (d) the assignment was not executed by an officer of each of the Complainants.

Paragraph 16. This constitutes a legal argument and is denied by Respondent.

Paragraph 17. This constitutes a legal argument and is denied by Respondent.

Paragraph 18. Respondent denies each and every allegation in Paragraph 18.

Paragraph 19. This constitutes legal argument and is denied by Respondent.

Paragraph 20. Respondent denies each and every allegation in Paragraph 20.

Paragraph 21. Respondent denies each and every allegation in Paragraph 21.

Paragraph 22. Respondent denies each and every allegation in Paragraph 22.

Paragraph 23. Respondent denies each and every allegation in Paragraph 23.

Paragraph 24. Respondent denies each and every allegation in Paragraph 24.

Paragraph 25. Respondent denies each and every allegation in Paragraph 25.

Paragraph 26. Respondent denies each and every allegation in Paragraph 26.

Paragraph 27. Respondent denies each and every allegation in Paragraph 27.

Paragraph 28. Respondent denies each and every allegation in Paragraph 28.

Paragraph 29. Respondent denies each and every allegation in Paragraph 29.

Paragraph 30. This is a legal argument and is denied by Respondent. The
Complainants have not pleaded facts that show any legal connection between
Respondent and Complainants.

Paragraph 31. Denied

Paragraph 32. This is a legal argument and is denied. The Complainants have not pleaded facts that show any connection between Respondent and Complainants.

Paragraph 33. This is a legal argument and is denied. Complainants were not in privity of contract with Respondent nor was its intermediary, Laufer.

Paragraph 34. Denied.

Paragraph 35. Denied.

Affirmative Defenses

Paragraph 36. As and for a first separate and complete affirmative defense, the Complaint fails to state a claim against Respondent upon which relief can be granted.

Paragraph 37. As and for a second separate and complete affirmative defense, the FMC has no personal jurisdiction over Respondent. Respondent has no offices or employees in the United States; its tariffs were cancelled, and its FMC-1 was terminated. The FMC website does not show Respondent as a current VOCC.

Paragraph 38. As and for a third separate and complete affirmative defense, Respondent committed no Shipping Act violation and is not liable to Complainants on the cause of action alleged in the Complaint.

Paragraph 39. As and for a fourth separate and complete affirmative defense, Complainants' claims, if they have any, are barred or estopped by the doctrine of laches.

Paragraph 40. As and for a fifth separate and complete affirmative defense, Complainants knowingly and intentionally assumed any and all risks inherent in the shipment(s) of the goods at issue by sea, which is a complete bar to recovery.

Paragraph 41. As and for a sixth separate and complete affirmative defense, Complainant lacks privity of contract with Respondent because Complainant is not a party to a service contract with Respondent and its Assignor of Claims, Laufer, also was not a party to any service contract with Respondents, and Laufer did not directly provide motor carrier services to Respondent. In sum, neither Complainants nor Laufer had any direct contacts or contracts with Respondent.

Paragraph 42. As and for a seventh separate and complete affirmative defense, Respondents believe that collection of any alleged damages by Complainants would unjustly enrich Complainants because they have passed on all the claimed expenses to their customers in the prices they charged.

Paragraph 43. As and for an eighth separate and complete affirmative defense, upon information and belief, demurrage and/or detention charges paid were for delays for which Complainants or their agents were responsible.

Paragraph 44. As and for a ninth separate and complete affirmative defense, upon information and belief, under the FMC's direct purchaser rule, neither Complainants nor Laufer are entitled to collect reparations from Respondent as they were not direct purchasers from Respondent.

Paragraph 45. As and for a tenth separate and complete affirmative defense, Respondent was never requested to deal or negotiate with Complainants and could not have unreasonably refused to deal or negotiate with Complainants.

WHEREFORE, Respondent demands judgment dismissing the Complaint and awarding to Respondent its costs, fees, including reasonable attorneys' fees and disbursements of this action, as well as such other and further relief the Federal Maritime Commission may deem just and proper.

Respondent does not request an oral hearing.

Respectfully submitted,



Neal M. Mayer
Paul D. Coleman
Hoppel, Mayer & Coleman
1050 Connecticut Avenue, N.W.
Fifth Floor
Washington, DC 20036
nmayer@hmc-law.com
pcoleman@hmc-law.com

Attorneys for
Respondent
Lihua Logistics Company Limited

CERTIFICATE OF SERVICE

I certify that on the 5th day of June, 2024, a true and correct copy of the foregoing Answer to Amended Complaint was served by email upon the counsel of record for the Complainants, the FMC Secretary, and the Presiding Administrative Law Judge in accordance with 46 CFR Part 502 and the Commission's Order of May 12, 2020.

ATTORNEY FOR COMPLAINANTS:

Timothy Herman
Therman@clarkhill.com

R. Kevin Williams
kwilliams@clarkhill.com

Neal M. Mayer

Paul D. Coleman

ATTORNEYS FOR RESPONDENT



Hoppel, Mayer & Coleman
1050 Connecticut Avenue, N.W.
Fifth Floor
Washington, DC 20036
nmayer@hmc-law.com
301-520-0314